HISTORICAL UPSIDE - DOWNSIDE SIZE

The next element is about testing the efficiency of the strategy. So, here we need to determine the amount of profit or loss booked for all our past trades. The result of this is established by back-testing. We then proceed to find the average loss in each loss-making trade and average gain in all profit-making trades.

WHAT IS THE HIT RATIO?

The next element is to determine the hit ratio of the strategy. This refers to the number of times the strategy has yielded a profit and the number of times it has resulted in a loss. For example, out of 40 trades in back-testing, a strategy yields 25 profit-making trades and 15 loss-making trades. So the hit ratio is 62.5% (25/40).

IS STRATEGY SUSTAINABLE?

The last element is to determine whether the strategy is sustainable or not. We will derive this by use of historical upside and downside and hit ratio together. So, we know our average profit and loss, and we also know the frequency of profit and loss. We can convert the same into this-(Profit Making Trade %×Average Profit) + (Loss Making Trade %×Average Loss). Here profit-making trade % is 62.5% (25/40) and loss-making trade is 37.5% (15/40). If the net result is positive, we can say that the strategy is sustainable on its own.